



Market Settlements Business Practices Manual

BPM-005-r2~~7~~6

Effective Date: ~~DEC-16-2024~~JUL-25-2024

This BPM provides sufficient detail to aid in MPs' understanding of Market Settlements and assist in building their own business processes to participate in MISO Energy and Operating Reserve Market Settlements.

1.3 References

The references to other documents that provide other reference information related to this BPM are as follows:

- BPM-004 Financial Transmission Rights and Auction Revenue Rights (MO-BPM-003)
- BPM-010 Network and Commercial Models (MP-BPM-001)
- Commercial Operation System: XML Interface Reference (located on MISO Extranet)
- MS-OP-029 Market Settlements Calculation Guide
- MS-OP-030 MISO Guide to FERC Electric Quarterly Reporting
- MS-OP-031 Post Operating Processor Calculation Guide
- Tariff of MISO



2. Market Settlements Overview

Settlement is the process by which MISO determines what charges and credits MPs have incurred. MISO operates two distinct settlement processes:

Transmission Settlements – The Transmission Settlements process financially settles MPs' use of MISO's Transmission System and mandated, non-competitive Ancillary Services such as scheduling and voltage support. MP charges for transmission and Ancillary Services are calculated based on the Tariff that has been approved by the Federal Energy Regulatory Commission (FERC). The collected funds are distributed to the Transmission Owners and the providers of the mandated Ancillary Services. For more detailed information on MISO's Transmission Settlement process, please see the *BPM for Transmission Settlements*.

Market Settlements – The Market Settlements process financially settles competitive transactional activities by and between MPs within MISO's managed Transmission System (i.e., market operations footprint). MP charges and credits resulting from the Day-Ahead, Financial Transmission Rights (FTRs), and Real-Time Energy and Operating Reserve Markets are calculated based on the Tariff.

This manual is exclusively for MISO Market Settlements process.

2.1 Market Types and Settlements

2.1.1 Financial Transmission Right, Day-Ahead and Real-Time Energy and Operating Reserve Markets

MISO operates three competitive markets and acts as a financial clearinghouse for MP electric Energy supply, electric energy Load, and FTRs. The three competitive markets are referred to as:

- FTR Market;
- Day-Ahead Energy and Operating Reserve Market; and
- Real-Time Energy and Operating Reserve Market.

The purpose of these markets is to facilitate competition between MPs, dispatch the least cost available Generation Resources, optimize the use the Transmission System, and provide MPs with the ability to hedge future Energy and congestion costs. In providing these Energy and Operating Reserve Market mechanisms, FERC permits MISO to recover the costs of providing these services from MPs as part of Market Settlements.



2.1.2 Settling and Invoicing the Financial Transmission Right, Day-Ahead and Real-Time Energy and Operating Reserve Markets

Market Settlements is a process that assigns financial charges and credits to MPs and their assigned Asset Owners (AOs) based upon their participation in the FTR, Day-Ahead Energy and Real-Time Energy and Operating Reserve Markets.

FTR Market Settlements – The FTR Market is settled using the Day-Ahead Energy and Operating Reserve Market cleared Locational Marginal Price (LMP) (\$/MWh). Holders of FTR Obligations (and Options, if already made available by MISO) receive a credit if congestion is present in the direction of the FTRs. An FTR Obligation holder is charged congestion costs if congestion is present in the opposite direction. A holder of FTR Options (if such options are already made available) is not charged congestion costs.

Day-Ahead Energy and Operating Reserve Market Settlements – In the settlement of the Day-Ahead Energy and Operating Reserve Market, each MP that purchased energy is charged the Day-Ahead LMP applicable at the relevant Commercial Pricing Node (CPNode) for the quantity (in MWh) of energy scheduled and/or cleared. Day-Ahead Financial Schedules are settled using the Marginal Loss Component (MLC) and the Marginal Congestion Component (MCC) of the LMP of the transaction Source/Sink/Delivery Points. Day-Ahead asset schedules for Energy and Interchange Schedules are settled using Day-Ahead LMP at the relevant CPNode for the hourly quantity of energy sold. Day-Ahead asset schedules for Operating Reserve are settled using the applicable Day-Ahead Market Clearing Price (MCP) at the relevant CPNode for the hourly quantity of Operating Reserve sold.

Real-Time Energy and Operating Reserve Market Settlements – In the settlement of the Real-Time Energy and Operating Reserve Market, each MP is settled for Energy based upon the incremental difference between its real-time energy transactions and its day-ahead scheduled energy transactions multiplied by the applicable Real-Time LMP. For Operating Reserve, each MP is settled based upon the incremental difference between its Real-Time cleared Operating Reserve and its day-ahead scheduled Operating Reserve multiplied by the applicable Real-Time MCP. Additional charges related to system reliability, asset performance, Operating Reserve and the distribution of system losses are also settled in the Real-Time Energy and Operating Reserve Market.

Charges owed by participants to MISO are displayed as positive numbers. Credits owed by MISO to participants are displayed as negative numbers.



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Input data for Market Settlements is acquired and validated from MPs, market-clearing operations, and Balancing Authority (BA) interchanges. Charges and credits are calculated and assessed to MPs based upon the Tariff.

The Market Settlements process produces FTR, Day-Ahead Energy and Real-Time Energy and Operating Reserve Market Settlement Statements at the AO level along with settlement summary statements at the AO and MP levels. Although Settlement Statements are produced at the AO level, Settlement Statements are only provided to MPs. Settlement Statements are provided for MP review and MP invoicing.

FTR, Day-Ahead Energy, and Real-Time Energy and Operating Reserve Market Settlement Statements are specific to an Operating Day (OD) and display each charge type along with the underlying billing determinants used in the associated charge type calculations. Settlement summary statements are specific for the day the Settlement Statements are scheduled to be generated and display the summary of all charges from individual FTR, Day-Ahead Energy, and Real-Time Energy and Operating Reserve Market Settlement Statements generated that day. Summary Settlement Statements allow MPs to review the charges and credits that are invoiced to them on upcoming invoice statements.

Invoice statements are MISO's bill to the MP and do not provide the charge type determinant details that are available on Settlement Statements. An invoice can be either a charge or a credit.

2.1.3 Market Settlement Timeline

The FTR, Day-Ahead, and Real-Time Energy and Operating Reserve Markets for each OD are settled a minimum of four times and may be settled additional times as deemed necessary by MISO. MISO has established a standard settlement calendar timeline for settling ODs. An OD is initially settled 7 Calendar Days (S7) after the OD and then again at 14 days (S14), 55 days (S55), and 105 days (S105) after the OD. After October 1, 2011, MPs will be invoiced for the OD's charges and credits based upon the S7 settlement, rather than the S14 settlement. When an OD is settled, the most recent data that has been provided to settlements is used in the calculations. Generally, only the data difference between each settlement is revised or submitted meter data. The initial settlement is performed seven days after the OD to provide participants with preliminary settlement results. MPs are expected to verify the accuracy of the settlement input data and identify discrepancies prior to the second scheduled settlement that occurs 14 days after the OD. The second settlement, S14, fully recalculates the OD and displays the incremental charge type differences between the second (S14) and the first settlement (S7).



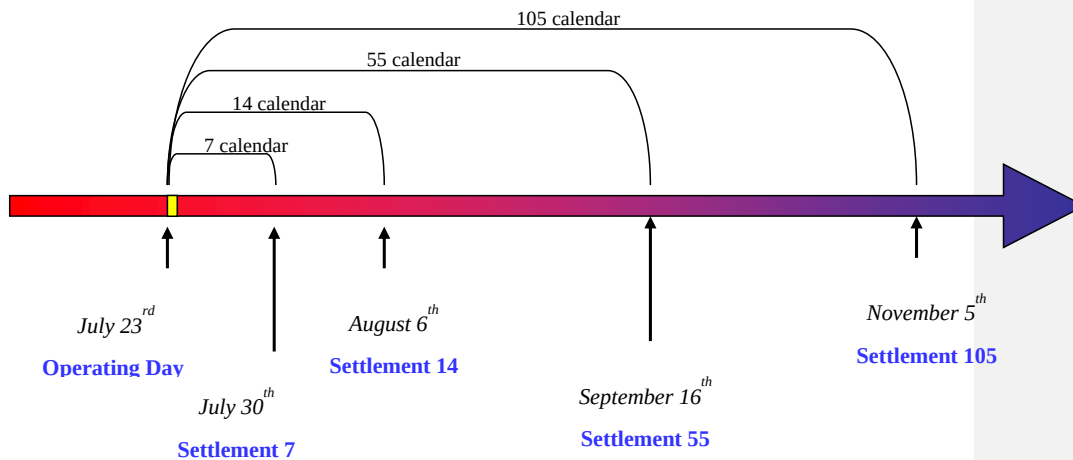
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The settlements at 55 and 105 days after the OD are to accommodate updates to meter data submitted by MPs. The 55-day settlement (S55) fully recalculates the OD's charges and credits and displays the incremental financial changes from the prior settlements. The fourth settlement is scheduled at 105 days (S105) after the OD and is the last normally scheduled settlement. MPs must have all their final meter data into MISO prior to this settlement. The S105 settlement fully recalculates all charges and credits and displays any incremental financial change from the prior settlements.

Exhibit 2-1: Market Settlements Timeline



Extraordinary events can occur that make it necessary for MISO to settle an OD additional times outside the standard settlement calendar timeline. When these types of events occur that necessitate a nonstandard settlement, MISO informs MPs and settles the OD similarly to a normally scheduled settlement.

2.2 Confidentiality

MISO strictly adheres to all applicable Confidential Information policies, and does not disclose Confidential Information to third parties, except in accordance with these policies and as required by the Tariff and other BPMs.

MISO collects and uses Confidential Information only in connection with its authority under the Tariff and the retention of such information is in accordance with MISO's data retention policies.



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2.2.1 Confidential Information

MISO safeguards all Confidential Information. The *BPM for List of Business Practices Manuals and Definitions* defines Confidential Information as:

“Any proprietary or commercially or competitively sensitive information, trade secret or information regarding a plan, specification, pattern, procedure, design, device, list, concept, policy or compilation relating to the present or planned business of a Transmission Customer, Market Participant, or other user, which is designated as confidential by the entity supplying the information, whether conveyed orally, electronically, in writing, through inspection, or otherwise, that is received by the Transmission Provider and is not disclosed except under the terms of a Confidential Information policy.”

2.2.2 Composite Information

MISO provides composite data as part of administering the Energy and Operating Reserve Markets. The composite data may be developed based on such confidential documents, data, or information if the composite does not disclose any individual MP's confidential data or information.

2.2.3 Disclosure to Agents

MISO may provide Confidential Information to its agents, representatives, or contractors to the extent that any such person or entity is bound by an obligation to maintain such confidentiality.

2.2.4 Disclosure to Third Parties

MISO may disclose Confidential Information to the FERC or other Third Parties as required by law and as specified in the Tariff.

2.3 Market Settlements Governance

MISO Market Settlements is governed by the Tariff. MISO utilizes BPMs as well as Procedures to clarify the implementation of the Tariff and provide guidance to MPs.

2.3.1 Open Access Transmission, Energy and Operating Reserve Markets Tariff

The Tariff as filed and amended with the FERC governs all Energy and Operating Reserve Markets Operations and Administration. MISO Market Settlements department establishes Business Practices and Procedures to ensure that all settlement processes, charge calculations, dispute procedures, mitigation measures, and any other Market Settlement requirements specified in the Tariff are implemented. Controls are established and reviews (SSAE16 Type 2) conducted to ensure compliance with all Market Settlements Tariff specifications.